Glossary

- **GNP :** Total money value of final goods and services produced in a country during a particular year (one year) including depreciation and net exports
- **NNP :** Total money value of final goods and services produced in a country during a particular year (one year) excluding depreciation including net exports
- **NNP at Factor cost :** The total of income payment made to factors of production
- **Personal Income :** Total income received by the individuals of a country before payment of direct taxes
- **Disposable income :** It is the sum of the consumption and saving of individuals after the payment of income tax
- **Per capita income :** Annual average income of a person
- **Social Accounts :** The accounts of national income considering the social cost generated by economic activities.
- **Unpaid services :** Rendering useful services like preparation of meals, washing, leaning, bringing up children, services to friends and relatives without payment
- **Capital sector :** It includes saving and investment activities.
- **Transfer payments :** Government makes payments in the form of pensions, unemployment allowance, subsides, etc.

MODEL QUESTIONS

Part – A

Multiple choice questions

1. Net National product at factor cost is also known as

   (a) National Income
   (b) Domestic Income
   (c) Per capita Income
   (d) Salary.

2. Primary sector is ……..

   (a) Industry
   (b) Trade
   (c) Agriculture
   (d) Construction.

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3. National income is measured by using ……. methods.

   (a) Two
   (b) Three
   (c) Five
   (d) Four

4. Income method is measured by summing up of all forms of ……

   (a) Production
   (b) Taxes
   (c) expenditure
   (d) Income

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